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Yale Program on Financial Stability

Lessons Learned

Benoît Cœuré

By Mercedes Cardona

Benoît Cœuré held several positions in the French Treasury in the years leading to the Global Financial Crisis (GFC). He was an economic adviser to the director general of the French Treasury from 1997–2002, deputy chief executive and chief executive of the French debt management office from 2002–2007, and assistant secretary for multilateral affairs, trade, and development from 2007–2009. He served as chief economist and deputy director general in 2009–2011. He joined the European Central Bank (ECB) during the European Sovereign debt Crisis and was responsible for market operations, market infrastructure supervision and European and international relations as a member of the ECB Executive Board and the Governing Council from 2012 through 2019. He was elected chairman of the BIS Committee on Payments and Market Infrastructures (CPMI) in 2013 and was named to head the BIS Innovation Hub in 2020, a position he held until 2022. Since 2022, he has been president of the Autorité de la concurrence, France’s competition oversight authority. This “Lesson Learned” is based on an interview with Cœuré in July 2024; the full transcript may be found [here](#).

Understand that financial policy decisions have macroprudential consequences; don’t underestimate the effects of banking policy on the economy.

European regulators underestimated the effect of the GFC at first, considering it a US phenomenon, and then assumed the crisis was mainly a threat to the banking sector. They addressed it with liquidity measures that were quite effective but should have been combined with macroeconomic stimulus, said Cœuré.

This viewpoint also led to pulling back some of the liquidity measures that had been successful, even as they were still needed. Once the immediate liquidity crisis abated, European authorities were eager to curtail many of the measures to reduce government deficits. That was a mistake, Cœuré explained:

This was really seen as a liquidity crisis and a crisis of confidence, a collapse of confidence in the banking system, and the macro consequences were, in my view, vastly underestimated: the fact that the banking system would be unable to lend to the economy as much as it should, and that this would create a credit crunch that would weigh on GDP and jobs, which is what we saw in 2009.

Very soon in 2009, there was an international discussion on how to bring public finances back to balance. There were initiatives to say that whatever had been paid during the crisis had been needed, but that now debt had to be cut back and government deficits had to come back to balance. That was a mistake. The impact of this crisis on the economy was vastly underestimated. Together with micro support to the financial system, there should have been a lot of macro support through monetary policy easing and fiscal stimulus, and that did not happen early enough.

In hindsight, said Cœuré, the macroeconomic impact of the liquidity and monetary policy measures was not fully understood until after the Sovereign Debt Crisis. The ECB even tried to hike interest rates in 2011–2014; “too soon,” said Cœuré. The hike had to be rolled back months later, when the region’s economies slowed down.

There was a consensus in Europe that fiscal policy had to be tighter. So, the whole macro policy stance was getting tighter at the time when the eurozone was hit by a financial crisis, which in hindsight was a big mistake. But of course, that was understood only later. There should have been much earlier macro reaction to support the economy in this tightening financial environment, both fiscal easing and monetary easing. And that came much, much later.

Successful crisis management often requires quick and bold actions and quantum leaps in policy.

The European Union consensus during the Sovereign Debt Crisis called for tighter fiscal policy at a time when a crisis was spreading, from the smaller economies of Greece, Portugal, and Ireland to the much larger ones in Spain and Italy; such a policy was a mistake, said Cœuré. In his opinion, programs such as quantitative easing would have been useful during the crisis of 2011–2012, but they did not come into play until 2015. In 2012, the ECB was not ready politically or philosophically to take a “quantum leap” to a more active monetary policy, said Cœuré.

As a counterpoint, said Cœuré, by the time the COVID-19 pandemic spread across Europe in 2020, the ECB was further along the learning curve. The authorities had internalized the idea that being fast to react was of the essence. Initially, ECB President Christine Lagarde had to walk back comments that the ECB was “not here to close spreads” in the bond market, which caused a bad market reaction. But the ECB course-corrected and acted decisively on COVID, with the EUR 750 billion Pandemic Emergency Purchase Programme. “I think that was a lesson from the previous crisis, that you don’t have the luxury to wait and see. You’ve got to act in a preemptive way,” said Cœuré.

The pandemic emergency response also benefitted from limited moral hazard concerns and an unusual alignment between fiscal and monetary policy goals that made them mutually supportive. The response also showed that some lessons from previous crises had been absorbed. The EU chose to issue common European debt, the EUR 750 billion Next Generation EU program, to finance the pandemic programs.

That understanding, that there was a need for common and forceful fiscal action, that’s something that protected the ECB, because that was something that the ECB didn’t have to do. From 2010 to 2015, I’m oversimplifying a bit, but in a way, the ECB was left to its own devices. There was no fiscal policy to speak of, and the ECB had to do all the heavy lifting in terms of supporting the region. In 2020, it was different. There was significant fiscal action, which made life easier for the ECB. And that’s an important lesson that was learned as well on the fiscal side.

However, according to Cœuré, these lessons remain half-learned. “The big ideas that came from the crisis, in fact, they were only half implemented, and a lot remains to be done,” he said. The EU banking union remains “in the middle of the river,” with only some of the regulatory measures it needs, such as a strong deposit insurance program, according to Cœuré. Additionally, the EU still lacks fiscal capacity at the European level. He explained,

Then, there was no significant progress towards a common fiscal capacity in the eurozone. There was one very positive episode, which is this Next Generation EU plan in 2020. But that’s a standalone. That’s pretty much an episode. There is no permanent fiscal mechanism for the eurozone. Which means that again, when the next crisis hits, presumably the ECB will again have to do everything, because there will be no fiscal policy to speak of at the eurozone level.

In spite of the lack of political will that may follow the recent elections of nationalistic governments across the region and their refocusing on issues such as defense following Russia’s invasion of Ukraine, Cœuré said he believes the EU will find its way. The COVID response showed the ECB will come through in a crisis and develop the tools it needs, he said.

Whenever Europe had to face a crisis, we always made it, because crises are times and events where Europe reveals itself. You’ve got this famous quote by Jean Monnet that says that Europe has been built through crisis, and it is the sum of the solutions that were brought to these crises. I’d rather it not be true, but it is very true. Our discussion today provides ample evidence of it.

So, yes, there is little political capital, or there might be some political fatigue across the board. But when the next crisis hits, I’m pretty confident that Europe will make it because we’ve always made it when facing crisis. A crisis gives you energy that you just didn’t know you had.

Dated: June 2025

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